



1 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were left balancing signs of easing inflation pressures against persistent concerns around higher-for-longer interest rates, producing a mixed and at times volatile session across asset classes.

Softer-than-expected US core PCE inflation initially buoyed risk sentiment and tempered expectations of a back-to-back FOMC rate hike, though a late bout of selling pressure ultimately left US equities mixed and the USD broadly unchanged.

The US yield curve continues to steepen however, with 10Y and 30Y Treasury yields pushing to fresh cycle highs even as markets pared back the likelihood of another rate hike in the near-term.

Australia was also dealt a softer core inflation print yesterday, sparking a rally in the ASX 200 as markets scaled back the probability of a follow-up RBA rate hike in November, seeing the Aussie dollar continue to slip.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	-0.2%
AUD/USD	0.6950	-0.6%
AUD/JPY	109.39	-0.5%
AUD/GBP	0.5237	-0.8%
AUD/NZD	1.2330	-0.4%
AUD/EUR	0.6134	-0.5%
AUD/CNH	4.6626	-0.6%
AUD/SGD	0.8873	-0.6%
AUD/HKD	5.4518	-0.6%
AUD/CAD	0.9887	-0.3%
EUR/USD	1.1332	-0.1%
USD/JPY	157.39	0.1%
USD Index	101.46	0.1%

Equities	Close	Change
S&P/ASX 200	8,789	0.9%
S&P 500	7,652	-0.3%
Japan Nikkei	66,754	1.9%
Hang Seng	24,613	0.4%
Euro Stoxx 50	6,269	-0.8%
UK FTSE100	10,606	-0.3%
VIX Index	16.34	1.9%

Commodities	Current	Change
CRB Index	410.25	0.2%
Gold	4157.63	-0.6%
Copper	14410	-0.2%
Oil (WTI futures)	90.42	1.2%
Coal (coking)	261.00	-1.3%
Coal (thermal)	146.50	0.9%
Iron Ore	93.40	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.59	0.02
90 day BBSY	4.82	0.00
180 day BBSY	5.17	-0.02
1 year swap	4.91	-0.02
2 year swap	4.94	-0.01
3 year swap	4.95	-0.02
4 year swap	4.97	-0.02
5 year swap	5.01	-0.02
6 year swap	5.06	-0.02
7 year swap	5.11	-0.02
8 year swap	5.16	-0.01
9 year swap	5.21	-0.01
10 year swap	5.26	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.93	-0.04
10 year bond	5.35	-0.02
United States		
3-month T Bill	4.01	-0.04
2 year bond	4.89	0.01
10 year bond	5.28	0.05
Other (10 year yields)		
Germany	3.59	-0.04
Japan	3.07	-0.03
UK	5.42	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	5.40	0.03
3 yr bond	4.96	0.02
3 mth bill rate	4.63	0.00
SPI 200	8,765	-0.5%

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- Share markets in the US had a rather volatile finish to the month, with momentum earlier in the session buoyed by a slightly better-than-expected inflation result, only for most of the gains to be erased in the last few minutes of trading upon a wave of selling pressure. The S&P 500 (-0.3%) and Dow Jones (-0.9%) finished lower, but the NASDAQ still managed to chalk up a gain (+0.2%).
- European markets were meanwhile dealt higher inflation readings, and the Euro Stoxx 50 (-0.8%) and FTSE 100 (-0.3%) both declined. Asian share markets were more positive: Tokyo bouncing back after recent declines (+1.9%), while Hong Kong (+0.4%) and Shanghai (+0.3%) gather momentum as Chinese authorities start to announce targeted stimulus measures. The ASX 200 bounced 0.9% on softer inflation data yesterday, but following the action overnight, futures markets are pointing to a weaker open this morning.
- Treasuries were initially supported by a better core inflation reading at the shorter end, the 2Y yield dipping lower intraday before giving back the move, finishing 1bp higher at 4.89%. This built on dovish comments from the FOMC's Williams yesterday, dialling back expectations of a back-to-back rate hike, with October down from a 70% chance on Monday to 37% chance today, though 3-4 rate hikes through to 2027 is still the market's expectation.
- A much stronger wave of selling pressure at the longer end saw the US 10Y and 30Y yields rise 5bps and 6bps to 5.28% and 5.63% respectively, both fresh highs for this cycle. Moves were disparate across the globe though: 10Y Gilts up 2bps, 10Y Bunds down 4bps, 10Y JGBs down 3bps.
- ACGB yields were more-or-less steady: rising during local trading yesterday but giving back these moves in futures trading overnight. Following a slight downside surprise on inflation figures yesterday, near-term pricing for the RBA has recalibrated, with a follow-up rate hike in November now seen as a circa 25% chance versus a circa 40% chance previously.
- The USD traded a fairly wide range overnight given the inflation data and the sudden moves across markets, though the DXY ultimately finished broadly steady, up just 0.1% to 101.5. The Euro and Yen both edged lower versus the greenback, while the Sterling posted a 0.2% rise. The Aussie dollar stood out, falling 0.6% to be a shade lower than USD0.695.
- Crude oil markets were quieter overnight, with Brent rising just 0.9% to US\$103.5/bbl, holding within recent ranges. LME copper gave back yesterday's small gain, down 0.2% back to US\$14,410/mt. Gold prices also fell 0.6% to just under the US\$4,160/oz mark, following on from the pare-back in rate hike expectations following softer US inflation data.

Today's key data and events

Time	Event	Exp	Prev
7:45	NZ Building Permits Aug	-	-4.3%
9:50	JP Tankan Large Manufacturers Q3	25pts	22pts
10:30	JP S&P Global Manufact. PMI Sep Final	-	54.1pts
11:30	AU Trade Balance Aug	\$2000m	\$1923m
16:00	GB Nationwide House Prices Sep	0.0%	0.2%
18:00	EZ S&P Global Manufact. PMI Sep Final	52.7pts	52.7pts
18:30	GB S&P Manufacturing PMI Sep Final	52pts	52pts
19:00	EZ Unemployment Rate Aug	6.4%	6.4%
22:30	US Initial Jobless Claims 26/09/2026	200k	197k
23:45	US S&P Manufacturing PMI Sep Final	57pts	57pts
0:00	US ISM Manufacturing Sep	54.9pts	54.6pts
0:00	US Construction Spending Aug	0.0%	-0.5%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the **PCE deflator** – the Fed's preferred measure of consumer inflation – came in slightly better than expected on a 'core' basis, rising 0.2% in August, while the headline measure rose 0.3%. Earlier estimates were also revised lower, seeing annual core PCE inflation held steady at 3.0%yr (vs. 3.3%yr pre-revision). Meanwhile, nominal **personal spending** bounced 0.9% as expected, despite a downside surprise on **personal income**, up only 0.2% in the month. **Q2 GDP** was also revised up in its final estimate, from an annualised pace of 1.5% to 2.2%, largely owing to stronger personal consumption.

In China, the September PMIs showcased an improvement in activity. Official **NBS PMIs** had manufacturing steady at 50.1, while non-manufacturing lifted from 49.2 to 50.2. The export-oriented **RatingDog PMIs** reported a small lift in both manufacturing and services activity. These results come as authorities announce **targeted stimulus measures**, including cuts to the Pledged Supplementary Lending rate, expanding infrastructure financing, and mortgage interest subsidies

In Japan, August's **industrial production** surprised to the downside with a 1.7% decline. Given the decline was driven by earthquake disruptions, a rebound next month is likely.

Local Data

In Australia, the **August CPI** was spot on Westpac's forecast, with headline inflation up 0.4%mt/4.0%yr and trimmed mean inflation up 0.2%mt/3.6%yr, though the latter was slightly below market expectations. These figures are consistent with Westpac's forecast for a 0.9%qtr/3.6%yr lift in Q3 trimmed mean inflation (see [here](#)).

Meanwhile, **dwelling approvals** fell 6.1% in August. Volatility in private units was again the chief culprit, while private detached houses continued to trend steadily higher (see [here](#)). Similarly, August's **private sector credit** detail provided mixed messages: steadiness in owner-occupier credit growth, but a sharp deceleration in investor credit growth (see [here](#)).



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